

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

**COMPLAINANT’S VERIFIED PETITION FOR RECONSIDERATION OF SECTION
3(ii) OF ORDER AFFIRMING INITIAL DECISION**

Complainant OJ Commerce, LLC (“OJC,” “OJ Commerce,” or “Complainant”), by and through its undersigned counsel, hereby files, pursuant to 46 C.F.R. § 502.261, its Verified Petition for Reconsideration of Section 3(ii) of Order Affirming Initial Decision, entered on August 27, 2024.

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INTRODUCTION

In its Order dated August 27, 2024 ("Order"), when calculating reparations, the Commission ("FMC") appropriately relied on a contemporaneous internal HSDG¹ email stating that it had prepared a renewal contract for 400 containers for 2021-2022, without any negative responses. (Order at 55.) But what appears to be a mistake is that the FMC overlooked that same email when it came to the rate that HSDG was going to charge for 2021-2022, because that email clearly states that the "**same rates**" from the 2020-2021 service contract ("Service Contract") would be used for the renewal. (CX 214.) Therefore, the FMC made a substantive error in material fact by using the significantly-higher spot market shipping rates instead of the much lower "**same rates**" from the then-existing contract. The record is clear that but for HSDG's willful retaliation and unreasonable refusal to deal, OJ Commerce, LLC ("OJC") would have had the benefit of the parties' agreed-upon contract rates for its shipments. By calculating reparations using the significantly higher spot rates, OJC was not made whole for the damages that it suffered as a direct result of HSDG's wrongdoing.

Even assuming *arguendo* that further certainty beyond the "same rates" email is preferred, any uncertainty regarding the 2021-2022 rates must be borne solely by HSDG, who unlawfully withheld crucial 2021-2022 service contract pricing information during discovery in violation of multiple court orders. Indeed, controlling case law is unanimous: the wrongdoer (HSDG) bears the risk of uncertainty in calculating damages, not the victim (OJC). OJC therefore respectfully requests that the FMC reconsider its clear error of material fact of using much-higher spot market shipping rates instead of the then-existing "same rates" from the Service Contract when calculating OJC's reparations and modify the totals accordingly.

¹ "HSDG" refers to Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co KG.

STANDARD OF REVIEW²

The Commission will review a petition for reconsideration that “identifies a substantive error in material fact contained in the decision or order.” 46 C.F.R. § 502.261(a)(2).

SUBJECT FOR RECONSIDERATION

I. There is irrefutable evidence showing that OJC’s reparations should be modified based on using the existing contract shipping rates that OJC had with HSDG at the time HSDG retaliated against and unreasonably refused to deal with OJC.

In Section 3(ii) the Order, the FMC made a substantive error in material fact when it limited OJC’s damages by using the significantly-higher³ spot market shipping rates for the 2020-2021 and 2021-2022 periods, while overlooking the contract rates in effect at the time of HSDG’s wrongdoing. “The basic objective of the law of damages in such cases as the instant one is to make a person who has suffered injury whole.”⁴ Indeed, the Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act.⁵ Actual damages do “not require absolute precision but do[] require evidence sufficient to reasonably infer the actual loss sustained.”⁶ Importantly, “where a wrongdoer [here, HSDG] has by its own action prevented the precise computation of damages, . . . the wrongdoer must bear the risk of the uncertainty and that damages can be shown by just and reasonable estimates based on relevant data[,]”⁷ because “[a]ny other rule would enable the

² OJC limits its petition to the very specific issue raised herein under the appropriate standard.

³ See, e.g., Order at 20-21 (the FMC recognizing that the spot rates were much higher than service contract rates).

⁴ *Adair v. Penn- Nordic Lines, Inc.*, Dkt. No. 1695(F), 26 S.R.R. 11, 1991 WL 383091, at *24 (ALJ Sept. 24, 1991), admin. final Oct. 24, 1991.

⁵ 46 U.S.C. § 41305(b).

⁶ *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (quoting *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Dkt. No. 88-15, 25 S.R.R. 1213, 1990 WL 427466, at *23 (FMC Oct. 19, 1990)).

⁷ *California Shipping*, 1990 WL 427466, at *23 (citing *Bigelow v. RKO Radio Pictures*, 327 U.S. 251, 264-65 (1946)).

wrongdoer to profit by his wrongdoing at the expense of his victim.”⁸

The evidence of record must be reviewed with these principles in mind. Indeed, the well-supported facts, circumstances, and timing of events leading up to and surrounding HSDG’s wrongdoing are revealing about what rates would apply to the renewal contract for 2021-2022:

- HSDG failed to meet its obligations to provide space to OJC as promised under its 2020-2021 Service Contract. (Initial Decision at 11-12.) As a result, on April 28, 2021, OJC sent its demand letter to HSDG threatening to file a petition with the FMC if HSDG’s Shipping Act violations related to its shipping deficiencies were not remedied. (CX 210.)
- The next day, on April 29, 2021, Casanova sent an internal email stating that Weiss “does not want to end the relationship with us and just look for the fair that we promised,” and that “[h]e is open to any solution that can offset this deficit.” (CX 215.)
- Casanova went on to state that “based on the above and since we are working to renew the contract” that HSDG should initially increase the MQC by 200 FFE giving a total of 400 FFE, in order to cover the deficit and commit to handling more of OJC’s shipping volume, as promised during the parties’ renewal negotiations.⁹
- To that end, on that same day, Casanova put together a new service contract, “NOAC10000728 Effective June 1, 2021, until May 31, 2022,” which contained “the same lanes, rates, and conditions of the current contract AECC0000291 and an increased MQC 400 FFE.” (CX 214 (emphasis added).) Notably, the ALJ found that Casanova emailed the proposed service contract terms internally twice, *without any negative responses*. (Initial Decision at 14; Order at 55.) The FMC relied on Casanova’s statements in the CX 214 email throughout the Order to substantiate the 400 FFE volume it used to calculate reparations.¹⁰ That same email unequivocally makes clear that the renewal contract contains the “same rates” as the existing Service Contract,¹¹ a fact that the FMC must have accidentally overlooked.
- Still on April 29, 2021, *within hours after* Casanova’s email actually generating the

⁸ *Bigelow*, 327 U.S. at 264.

⁹ CX 215 (emphasis added); Initial Decision at 14, FOF 55.

¹⁰ *See, e.g.*, Order at 55, 57, 58, 61.

¹¹ All this took place months before the spot market rates went through the roof. (CX 468 ¶ 12.)

renewal contract and *the day after* receiving a threat from OJC to file a complaint with the FMC, HSDG made the “executive decision” to willfully retaliate against and unreasonably refuse to deal with OJC.¹²

Thus, the FMC’s assertion that it was an “unsupported assumption” that “HSDG would have renewed the contract at the 2021-2021 Service Contract rates” and “there is no evidence that HSDG was willing to renew for the 2020-2021 shipping rates” is a substantive error in material fact. (Order at 50-51.) The contemporaneous evidence is crystal clear and undisputed that *before* HSDG committed its Shipping Act violations, HSDG did renew its Service Contract with OJC using “the *same lanes, rates, and conditions of the current contract.*” (CX 214 (emphasis added).) Indeed, as the ALJ confirmed, there were no negative responses.¹³ Only in after-the-fact, litigation-inspired depositions and declarations, did HSDG make its self-serving contention that HSDG would not have agreed that the rates would remain the same for the renewal. Similar to what the FMC found when rejecting HSDG’s argument about phantom “space concerns” allegedly precluding the renewal:

The record shows that at no point prior to August 29, 2021, did HSDG suggest to OJC that it would be unable to renew the 2020-2021 Service Contract due to [pricing] constraints, [and] no internal HSDG communications suggest it was considering rejecting a contract renewal due to [pricing] concerns.

(Order at 29.) What was true for space was also true for pricing, and thus similarly, “there is sufficient evidence in the record”¹⁴ to find that HSDG did offer and would accept the “same rates” from 2020-2021 for the renewal for 2021-2022.

¹² CX 220-221; CX 227; Initial Decision at 62-63; Order at 45-47.

¹³ Initial Decision at 14; Order at 55.

¹⁴ Order at 29.

II. Any perceived uncertainty about 2021-2022 pricing must be borne solely by HSDG, because HSDG withheld during discovery its service contract pricing for 2021-2022 in violation of multiple court orders, greatly prejudicing OJC.

Even if *arguendo* there is any uncertainty about what “same rates” means (there shouldn’t be), any uncertainty must be borne solely by HSDG. Notably, evidence of what service contract rates HSDG charged others in 2021-2022 was the exact information that OJC sought in discovery¹⁵ in order to prove beyond all doubt that HSDG had in fact charged other shippers the “same rates” in 2021-2022 as in 2020-2021. But despite multiple court orders to do so, HSDG refused to produce that information,¹⁶ which would have provided the missing evidence that the FMC and the ALJ desired. Indeed, why would HSDG withhold its service contract pricing records in violation of court orders if the records were not harmful to its position? But in denying discovery sanctions against HSDG, the FMC and ALJ, respectively, made a substantive error in material fact when they found “the evidence does not support finding that failure to provide discovery impacted the determination [of damages],”¹⁷ and “additional evidence would not have materially impacted the outcome of this case,”¹⁸ when that “additional evidence” was the exact information that would have conclusively proven that HSDG would have charged the “same rates” in the renewal contract. The FMC should not have found the missing evidence immaterial, when that evidence is precisely what the FMC felt was so important to proving the “same rates” pricing.

HSDG’s refusal to produce relevant pricing information easily meets the standard for imposing adverse evidentiary inferences against HSDG on pricing and damages, particularly since

¹⁵ CX 376 (OJC 3d RFP 19); CX 7, ¶ 54; CX 300, 309.

¹⁶ CX 300, 309; CX 376 (OJC 3d RFP 19); CX 7, ¶ 54.

¹⁷ Initial Decision at 64.

¹⁸ Order at 62-63.

HSDG's refusals were knowing and repetitive.¹⁹ And to the extent there is uncertainty as to what the data would have shown, the law is clear that OJC must not be penalized for HSDG's discovery violations. Instead "*the wrongdoer* must bear the risk of the uncertainty"²⁰ because "[a]ny other rule would enable the wrongdoer to profit by his wrongdoing at the expense of his victim."²¹ This makes sense, because if there is no punishment for withholding critical evidence, then guilty parties will have a great incentive to withhold damaging evidence. Why would a guilty party produce damaging evidence when it could just withhold the information and argue that no evidence exists to support the complainant's claims? Put plainly, if the Order is not corrected, HSDG will have benefitted from withholding confirming evidence agreeing to the same rates for 2021-2022.²²

But for HSDG's willful Shipping Act violations, OJC would have had the benefit of the contract rates for both 2020-2021 and 2021-2022 and never would have been forced to the spot market. No authority supports the proposition that OJC should suffer a diminishment in its profits based on actions it took to mitigate its losses *as a result of* HSDG's willful wrongdoing. To the contrary, the U.S. Supreme Court has explicitly held the FMC should not "wrongly minimize[] the sting of losing expected profits resulting from being unjustly and illegally denied space. Such a loss is real and it is certainly compensable under the Shipping Act."²³

¹⁹ See, e.g., *Parsi v. Daiouleslam*, 778 F.3d 116, 118, 133 (D.C. Cir. 2015) (affirming sanctions where party denied the existence of documents and disobeyed court orders to produce certain material); OJC's Opening Brief, pp. 26-32.

²⁰ *California Shipping*, 1990 WL 427466, at *23 (citing *Bigelow*, 327 U.S. at 264-65) (emphasis added).

²¹ *Bigelow*, 327 U.S. at 264.

²² Notably, HSDG raked in unprecedented revenue – the highest in its history up to that point by far – of \$61.8 billion in 2021 and \$81.5 billion in 2022 (or \$29.71 million and \$39.18 million per hour, respectively. (See OJC's Reply to HSDG's Exceptions to the Initial Decision, p. 34, n.156.)

²³ *Consolo v. Federal Maritime Commission*, 383 U.S. 607, 626 (1966); see also *Adair*, 1991 WL 383091, at *24 ("The basic objective of the law of damages ... is to make [OJC] who has suffered injury whole.").

Once the factual error in Section 3(ii) of the Order is corrected, the re-calculation of OJC's reparations, using the FMC's method outlined in the Order, is straightforward. The profit per container is determined by replacing the shipping cost used in the Order with the actual contract rate for shipping as follows:

	2020-21	2021-22
Final Decision	\$20,737.24	\$18,983.01
FMC Calculated Shipping	\$2,026.00	\$8,069.00
Contract Shipping Rate	\$1,911.00	\$1,911.00
Difference	\$115.00	\$6,158.00
Revised Profit Per Container (Final Decision + Difference)	\$20,852.24	\$25,141.01

And the total reparations are thereby computed as follows:

	2020-21	2021-22	Total
Revised Profit Per Container	\$20,852.24	\$25,141.01	
Containers	15	400	
Damages	\$312,783.60	\$10,056,404.00	\$10,369,187.60
Interest	\$34,729.55	\$1,116,689.63	\$1,151,419.18²⁴
Damages & Interest	\$347,513.15	\$11,173,093.63	\$11,520,606.78
Double Damages & Interest	\$695,026.31	\$22,346,187.26	\$23,041,213.57

WHEREFORE, for all the foregoing reasons, OJC respectfully requests that the Commission:

- (i) modify its award of OJC's reparations, with prejudgment interest and doubling, to \$23,041,213.57; and
- (ii) grant such further relief as the Commission deems just and proper.

²⁴ For purposes of this table, the interest is calculated only through the date of the Order, August 27, 2024. The interest would need to be re-calculated through the date of any decision modifying OJC's reparations.

Dated: September 26, 2024

Respectfully Submitted,

By: /s/ Shlomo Y. Hecht
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VERIFICATION

I, Jacob Weiss, am the President of Complainant OJ Commerce, LLC and hereby declare and attest under penalty of perjury that I have read the foregoing Petition and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: September 26, 2024



Jacob Weiss

CERTIFICATE OF SERVICE

I hereby certify that I have this day served Complainant's foregoing Petition upon all of Respondents' counsel of record by emailing a copy to each such person.

Dated: September 26, 2024

By: /s/ Shlomo Y. Hecht
Shlomo Y. Hecht